

NEW INFORMATION COMING UP

We will never have full information when we are creating the Lazy Plan. In our 20s, we will not be aware of the major life goals. In our 30s, we will not be certain about our employment status at the time of retirement and when we are in our 40s, we will not know the expenses that we will have to incur for our children and our parents and so on. We will never be sure about any emergency that is likely to arise in the next few days, or about our insurance claim that is being rejected.

The nature of this art is such that information will never be complete. We will plan with whatever information we have at that moment and then keep making changes to the plan as things evolve from there.

THIS IS A DYNAMIC PLAN

As per our prior discussions, this plan is indeed very dynamic. We will keep updating the plan as and when new information crops up or when we change our mind regarding assets. If we do not keep on making the changes, the plan will become obsolete very soon. The idea here is to have a plan that takes us in the correct direction and we can fine-tune the plan as information becomes clearer.

REBALANCE EVERY 2 YEARS

Ideally, the plan should be rebalanced at least once in every 2 years. This means we will have to re-work the ratios and re-allocate the assets. We will make changes to the portfolio as the time horizon to meet each goal would have reduced. Few goals from Bucket C would have moved to bucket B and some from Bucket B would have moved to Bucket A. So to reflect the changes, we will rebalance the portfolio at least once in every 2 years.